

1 AN ACT relating to education and declaring an emergency.

2 ***Be it enacted by the General Assembly of the Commonwealth of Kentucky:***

3 ➔SECTION 1. A NEW SECTION OF KRS CHAPTER 156 IS CREATED TO
4 READ AS FOLLOWS:

5 **(1) As used in this section:**

6 **(a) "Department" means the Kentucky Department of Education; and**

7 **(b) "Principal" means a person who:**

8 **1. Is the primary administrator and instructional leader of a public**
9 **school or program;**

10 **2. Supervises students and school employees; and**

11 **3. Is selected by the district's superintendent pursuant to KRS 160.345.**

12 **(2) There is hereby established the principal leadership development practicum to**
13 **provide all new principals within the first four (4) years of experience in the**
14 **position with leadership development training. It is the intent of the General**
15 **Assembly to ensure that a school district or principal incurs no cost for the**
16 **participation in the practicum and the principal receives a stipend toward the cost**
17 **of the third year of the practicum. The Kentucky Department of Education shall**
18 **develop and operate the practicum, subject to the following provisions:**

19 **(a) The practicum shall operate based on cohorts of new principals and offer**
20 **four (4) years of leadership development training with specific requirements**
21 **in each year. The department shall annually establish a calendar for the**
22 **operation of the practicum;**

23 **(b) Each year's cohort of new principals shall consist of those people who first**
24 **became principals by September 1 of each year;**

25 **(c) The department shall establish the minimum requirements for successful**
26 **completion of each year, including hours of instruction or specific work**
27 **products;**

1 (d) The first and second year of the practicum shall provide professional
2 learning and mentorship supports to new principals, subject to the
3 following:

4 1. The mentors shall have significant and successful experience as a
5 principal and may be currently employed in a school district or retired.

6 The mentors shall provide ongoing support to the new principals
7 through the first and second school year with regular personal
8 sessions to provide individualized support to the new principal;

9 2. The mentorship shall also provide the cohort of new principals an
10 opportunity to build a peer support network;

11 3. The professional learning provided by the department shall be aligned
12 to the most recent professional standards adopted by the National
13 Policy Board for Educational Administration and include, at a
14 minimum, the following topics:

15 a. Personnel evaluation and feedback;

16 b. School-based decision making and school councils;

17 c. Implementation of instructional leadership, high-quality
18 instructional materials, and curriculum alignment;

19 d. Assessment and accountability;

20 e. Multitiered systems of support;

21 f. Services for exceptional children and youth; and

22 g. School safety; and

23 4. Professional learning under subparagraph 3. of this paragraph shall
24 utilize any existing trainings required in administrative regulation or
25 statute or developed by the department. Additional professional
26 learning developed by the department shall first be approved by the
27 Kentucky Board of Education;

- 1 (e) The third year of the practicum shall require, as funds are available, that
2 the new principal participate in an intensive leadership program during the
3 summer with follow-up sessions throughout the following year. The
4 leadership program shall be established by the department in partnership
5 with the Kentucky Chamber Foundation. A new principal shall be exempted
6 from the requirements of this paragraph if:
- 7 1. The new principal misses the intensive leadership program during the
8 summer due to illness or an emergency;
9 2. The absence is approved by the superintendent of the school district in
10 which the new principal is employed; and
11 3. The new principal completes an alternative program established by the
12 department; and
- 13 (f) The fourth year of the practicum shall not be mandatory but shall provide
14 high-level leadership training options for new principals. The department
15 shall establish the standards for training providers and the trainings under
16 this paragraph, including the number of hours required. The department
17 shall maintain a list of training providers who are eligible to provide the
18 high-level leadership training and make it available to new principals; and
- 19 (g) After the fourth year, each principal shall continue leadership development
20 through the effective instructional leadership program established in
21 Section 2 of this Act.
- 22 (3) A principal may submit the participant hours of instruction that the principal
23 earns under this section during a year toward the twenty-one (21) participant
24 hours required by the effective instructional leadership program established in
25 Section 2 of this Act. The department shall grant program credit for the verified
26 hours the principal submits.
- 27 (4) If a person discontinues serving as a principal during the first four (4) years of

1 service and subsequently returns to a principal position, then that person shall
2 continue the new principal program for the year in which the person was
3 previously participating.

4 (5) The principal leadership development practicum required under this section shall
5 begin on July 1, 2027, for the 2027-2028 school year with a cohort of principals
6 with less than one (1) year of experience in the position. Subsequent cohorts shall
7 be admitted as provided in subsection (2) of this section.

8 (6) The Kentucky Board of Education may promulgate administrative regulations in
9 accordance with KRS Chapter 13A for the operation of the section.

10 ➔Section 2. KRS 156.101 is amended to read as follows:

11 (1) The purpose of this section is to encourage and require the maintenance and
12 development of effective instructional leadership in the public schools of the
13 Commonwealth and to recognize that principals, with the assistance of assistant
14 principals, supervisors of instruction, guidance counselors, and directors of special
15 education, have the primary responsibility for instructional leadership in the schools
16 to which they are assigned.

17 (2) As used in~~For the purpose of~~ this section, "instructional leader" means~~shall be~~
18 ~~defined as~~ an employee of the public schools of the Commonwealth employed as a
19 principal, assistant principal, supervisor of instruction, guidance counselor, director
20 of special education, or other administrative position deemed by the Education
21 Professional Standards Board to require an administrative certificate.

22 (3) In order to carry out the purpose of this section, the Kentucky Board of Education
23 shall establish a statewide program to improve and maintain the quality~~and~~
24 ~~effectiveness~~ of effective instructional leadership in the public schools of the
25 Commonwealth.

26 (4) The effective instructional leadership~~instructional leader improvement~~ program
27 shall contain the following provisions:

- 1 (a) Each instructional leader employed by the public schools of the
2 Commonwealth shall participate in a continuing intensive training program
3 designed especially for instructional leaders;
- 4 (b) Each instructional leader shall annually complete an intensive training
5 program approved by the Kentucky Board of Education to include no fewer
6 than twenty-one (21) participant hours of instruction. Hours completed by
7 participants in the principal leadership development practicum under
8 Section 1 of this Act may be substituted to satisfy this requirement;
- 9 (c) The Kentucky Board of Education shall prescribe specific criteria for the
10 training program. The Kentucky Department of Education may contract for
11 specific training with qualified agencies or institutions or approve programs
12 offered by training providers, including local district training programs,
13 except that the department shall ensure the requirements of paragraph (d) of
14 this subsection are met; and
- 15 (d) Annually, each local district superintendent shall report to the Kentucky
16 Department of Education any instructional leader who fails to complete the
17 training requirements of paragraph (b) of this subsection and shall place the
18 leader on probation for one (1) year. The Department of Education shall
19 verify completion of the required training. If the required training for the prior
20 year and the current year is not completed during the probationary period, the
21 Department of Education shall forward the information to the Education
22 Professional Standards Board, which shall revoke the instructional leader's
23 certificate.
- 24 (5) The Kentucky Department of Education shall ensure that training options in human
25 resource management and conflict resolution techniques are available to education
26 leaders throughout the state.
- 27 (6) This section shall be known as the ~~["~~Effective Instructional Leadership Act.~~"]~~

1 ➔ Section 3. KRS 161.027 is amended to read as follows:

- 2 (1) The Education Professional Standards Board, pursuant to KRS 161.028, shall by
3 administrative regulation establish requirements for a preparation program in
4 institutions of higher education for all new applicants for principal certification and
5 establish criteria for admission to the program.
- 6 (2) The Education Professional Standards Board and the Council on Postsecondary
7 Education shall evaluate the preparation programs for principals and maintain only
8 those institutional programs that can demonstrate both the quality and the capability
9 to enroll adequate numbers of students to justify the resources necessary for
10 maintenance of a quality program.
- 11 (3) The Education Professional Standards Board shall develop or select appropriate
12 assessments for applicants seeking certification as principals, including an
13 assessment of the ability to apply knowledge, instructional leadership, management,
14 and supervision skills.
- 15 (4) The Education Professional Standards Board shall establish the minimum score for
16 successful completion of assessments and shall establish a reasonable fee to be
17 charged applicants for the actual cost of administration of the assessments. The
18 Education Professional Standards Board shall provide for confidentiality of
19 assessment scores.
- 20 (5) ~~{The Education Professional Standards Board shall develop an internship program~~
21 ~~which shall provide for the supervision, assistance, and assessment of beginning~~
22 ~~principals and assistant principals. The internship shall not be required of applicants~~
23 ~~who have completed, within a ten (10) year period prior to making application, at~~
24 ~~least two (2) years of successful experience as a principal in a school situation. The~~
25 ~~Education Professional Standards Board, by administrative regulation, shall~~
26 ~~establish the internship program.~~
- 27 (6) ~~{The certification of principals shall require the successful completion of the~~

1 examinations required by subsection (3) of this section. A one (1) year certificate
2 may be given to a person who has:

- 3 (a) A comparable certificate from another state; or
4 (b) All other qualifications except the assessments and is selected as a principal or
5 assistant principal in a district where the superintendent certifies to the
6 Education Professional Standards Board that there is a limited number of
7 applicants to meet the requirements.

8 Upon successful completion of the assessments, a certificate shall be issued for an
9 additional four (4) years. A person employed in Kentucky as a principal or assistant
10 principal who was certified in another state and practiced in that state for two (2) or
11 more years is exempt from taking the assessment described in subsection (3)(a) of
12 this section.

13 ~~(6)~~~~(7)~~ Upon successful completion of the approved preparation program and the
14 assessments, the Education Professional Standards Board shall issue to the
15 applicant a statement of eligibility for internship valid for five (5) years. If the
16 applicant does not gain employment as a principal~~participate in an internship~~
17 ~~program~~ within the five (5) year period, the applicant shall reestablish eligibility by
18 repeating and passing the assessments in effect at that time or by completing a
19 minimum of six (6) graduate hours, directly related to instructional leadership,
20 management, or supervision, at a regionally or nationally accredited institution. The
21 option for renewal through completion of graduate hours shall be available only for
22 the first reestablishment of eligibility. Upon obtaining employment for an internship
23 position as principal or assistant principal within the period of eligibility, the
24 applicant shall be issued the appropriate one (1) year certificate for the position.

25 ~~(7)~~~~(8)~~ ~~[All applicants for principal certification, after successfully completing the~~
26 ~~assessments, shall successfully complete the internship program described in~~
27 ~~subsection (5) of this section for principal certification. If the principal's or assistant~~

1 ~~principal's internship performance is judged to be less than satisfactory pursuant to~~
2 ~~administrative regulations developed by the Education Professional Standards~~
3 ~~Board, the applicant for principal certification shall be provided with an opportunity~~
4 ~~to repeat the internship one (1) time if the applicant is employed by a school district~~
5 ~~as a principal or assistant principal.~~

6 (9) — Following successful completion of the *first year of principalship*~~internship~~
7 ~~program~~, the principal certificate shall be extended for four (4) years. Renewal of
8 the certificate shall require the completion of a continuing education requirement as
9 prescribed by the Education Professional Standards Board.

10 ➔ Section 4. KRS 156.492 is amended to read as follows:

11 (1) The Kentucky Department of Education may enter into an agreement with any
12 building and construction trade organization to develop a training program for
13 school counselors providing services to students in the Commonwealth. The
14 purpose of the training program shall be to promote building and construction
15 trades and training facilities available to students by making school counselors
16 aware of what is available to students participating in the building and construction
17 trade. The training program shall include information relating to:

18 (a) The pay and benefits available to people who work in the building and
19 construction trades; and

20 (b) Job opportunities, pre-apprenticeships, apprenticeships, and pathways within
21 the building and construction trade industry.

22 (2) The participating trade organization shall ensure ample opportunities for school
23 counselors that serve grades seven (7) through twelve (12) to complete the training
24 created under subsection (1) of this section annually and shall bear all costs
25 associated with the training. The participating trade organization may choose to
26 offer professional development opportunities to teachers who serve students in
27 grades seven (7) through twelve (12), if resources are available for this purpose.

1 (3) The department shall include the training program created in this section on the
2 electronic consumer bulletin board created pursuant to KRS 156.095(8) if requested
3 by the training program.

4 (4) A school counselor serving students in grades seven (7) through twelve (12) may
5 complete four (4) hours of training developed under this section which shall count
6 towards the twenty-one (21) hours required annually pursuant to KRS
7 156.101(4)(b){2}.

8 (5) Local boards of education or school-based decision making councils may
9 incorporate this training as part of the four (4) days of professional development
10 required pursuant to KRS 158.070(3)(a) for teachers who serve students in grades
11 seven (7) through twelve (12) if offered by the participating trade organization.

12 ➔Section 5. KRS 160.160 is amended to read as follows:

13 (1) **As used in this section and Sections 7 and 8 of this Act, "large school district"**
14 **means a school district that has more than three hundred thousand (300,000)**
15 **inhabitants.**

16 **(2)** Each school district shall be under the management and control of a board of
17 education consisting of five (5) members~~[, except in counties containing a city of~~
18 ~~the first class wherein a merger pursuant to KRS 160.041 shall have been~~
19 ~~accomplished which shall have seven (7) members elected from the divisions and in~~
20 ~~the manner prescribed by KRS 160.210(5),]~~ to be known as the "Board of
21 Education of ..., Kentucky." Each board of education shall be a body politic and
22 corporate with perpetual succession. It may sue and be sued; make contracts;
23 expend funds necessary for liability insurance premiums and for the defense of any
24 civil action brought against an individual board member in his **or her** official or
25 individual capacity, or both, on account of an act made in the scope and course of
26 his **or her** performance of legal duties as a board member; purchase, receive, hold,
27 and sell property; issue its bonds to build and construct improvements; and do all

1 things necessary to accomplish the purposes for which it is created. Each board of
2 education shall elect a chair~~[chairman]~~ and vice chair~~[chairman]~~ from its
3 membership in a manner and for a term prescribed by the board not to exceed two
4 (2) years.

5 ~~(3)~~~~(2)~~ No board of education shall participate in any financing of school buildings,
6 school improvements, appurtenances thereto, or furnishing and equipment,
7 including education technology equipment without:

8 (a) First establishing the cost of the project in advance of financing, based on the
9 receipt of advertised, public, and competitive bids for such project, in
10 accordance with KRS Chapter 424; and

11 (b) Establishing the cost of financing in advance of the sale of any bonds,
12 certificates of participation in any leases, or other evidences of financial
13 commitments issued by or on behalf of such board. Any bonds, leases,
14 participations, or other financial arrangements shall not involve a final
15 commitment of the board until the purchaser or lender involved shall have
16 been determined by public advertising in accordance with KRS Chapter 424.

17 ~~(4)~~~~(3)~~ No board of education shall make a mortgage, lien, or other encumbrance
18 upon any school building owned by the board, or transfer title to any such school
19 building as part of any financing arrangement, without the specific approval of the
20 Department of Education, and without the transaction being entered into pursuant to
21 a detailed plan or procedure specifically authorized by Kentucky statute.

22 ~~(5)~~~~(4)~~ Without the approval of the Department of Education, no board may lease, as
23 lessee, a building or public facility that has been or is to be financed at the request
24 of the board or on its behalf through the issuance of bonds by another public body
25 or by a nonprofit corporation serving as an agency and instrumentality of the board,
26 or by a leasing corporation. Any lease, participation, or other financial arrangement
27 shall not involve a final commitment of the board unless and until the purchaser or

1 lender involved in same shall have been determined by public advertising in
2 accordance with KRS Chapter 424. No transaction shall be entered into by the
3 board except upon the basis of public advertising and competitive bidding in
4 accordance with KRS Chapter 424.

5 ~~(6)~~~~(5)~~ A school district may issue general obligation bonds in accordance with KRS
6 Chapter 66.

7 ~~(7)~~~~(6)~~ Rental payments due by a board under a lease approved by the Department of
8 Education in accordance with subsection ~~(5)~~~~(4)~~ of this section, and debt service
9 payments under a general obligation bond issued in accordance with this section,
10 shall be due and payable not less than ten (10) days prior to the interest due date for
11 the bonds, notes, or other debt obligations issued to finance the building or public
12 facility. If a board fails to make a rental payment when due under a lease or a debt
13 service payment when due for a general obligation bond issue, upon notification to
14 the Department of Education by the paying agent, bond registrar, or trustee for the
15 bonds not less than three (3) days prior to the interest due date, the Department of
16 Education shall withhold or intercept any funds then due the board to the extent of
17 the amount of the required payment on the bonds and remit the amount to the
18 paying agent, bond registrar, or trustee as appropriate. Thereafter, the Department
19 of Education shall resolve the matter with the board and adjust remittances to the
20 board to the extent of the amount paid by the Department of Education on the
21 board's behalf.

22 ~~(8)~~~~(7)~~ Bonds, notes, or leases negotiated to provide education technology shall not
23 be sold for longer than seven (7) years or the useful life of the equipment as
24 established by the state technology master plan, whichever is less.

25 ~~(9)~~~~(8)~~ Notwithstanding any requirements of public advertising, competitive bidding,
26 or approval by the Department of Education, or any administrative regulation
27 promulgated pursuant to KRS 156.160(1)(o), a local board may authorize the

1 transfer or sale of the district's real or personal property to another governmental or
2 quasi-governmental agency in exchange for money or a similar type of property that
3 equals or exceeds the fair market value of the district property as determined by an
4 independent appraisal conducted by:

- 5 (a) An individual or organization not affiliated with the district or its officers or
6 employees, using a generally accepted national or professional standard; or
7 (b) A district's officers or employees using a nationally published valuation of
8 property based on the most recent edition of the publication.

9 ➔Section 6. KRS 160.200 is amended to read as follows:

10 (1) All elections for members of boards of education shall be in even numbered years,
11 for a term of four (4) years~~[except as provided in KRS 160.210(5)]~~. Except as
12 provided in subsection (3) of this section, the elections shall be held at the regular
13 November election.

14 (2) In each even numbered year, there shall be held an election in every county and
15 independent district to fill the membership of the boards of education for the terms
16 that will expire on the first Monday in January following, and the regularly elected
17 members shall hold office for four (4) years and until their successors are elected
18 and have qualified.

19 (3) Any independent school district embracing a designated city may, at the discretion
20 of its board of education, hold its election of board members at its public school
21 building on the first Saturday in May. The election shall be held by three (3)
22 officers appointed by the board of education and the expenses of the election shall
23 be paid from the treasury of the school district. In all other respects the provisions
24 of this chapter relating to holding elections for board members shall apply.

25 (4) ~~In counties containing a city of the first class, wherein a merger pursuant to KRS~~
26 ~~160.041 shall have been accomplished, the terms of the members shall be as~~
27 ~~provided in KRS 160.210(5). Elected members of such boards, excepting those~~

boards of education representing ten percent (10%) or less of the student population of the county serving at the effective date of such a merger shall continue to serve until their term expires, but no appointments shall be made to fill vacancies. The terms of office of members of boards of education representing ten percent (10%) or less of the student population of the county shall expire on the effective date of the merger.

(5) — As used in this section, "designated city" means a city classified as a city of the fifth class as of January 1, 2014, under the city classification system in effect prior to January 1, 2015. The Department of Education shall, on or before January 1, 2015, create an official registry listing the cities that qualify as a "designated city" under this section and shall publish that registry on its website [Web site].

➔ Section 7. KRS 160.180 is amended to read as follows:

- (1) As used in this section, "relative" means father, mother, brother, sister, husband, wife, son, and daughter.
- (2) A person shall only be eligible for membership on a board of education if the person:
 - (a) Has attained the age of twenty-four (24) years;
 - (b) Has been a citizen of Kentucky for at least three (3) years preceding the election and is a voter of the district for which he or she is elected;
 - (c) Has completed at least the twelfth grade or has been issued a High School Equivalency Diploma, as evidenced by:
 1. An affidavit signed under penalty of perjury certifying completion of the twelfth grade or the equivalent that has been filed with the nominating petition required by KRS 118.315; or
 2. A transcript evidencing completion of the twelfth grade or the results of a twelfth grade equivalency examination that has been filed with the nominating petition required by KRS 118.315;

- 1 (d) Does not hold any elective federal, state, county, or city office;
- 2 (e) Is not, at the time of his or her election, directly or indirectly interested in the
- 3 sale to the board of books, stationery, or any other property, materials,
- 4 supplies, equipment, or services for which school funds are expended;
- 5 (f) Has not been removed from membership on a board of education for cause;{
- 6 and}
- 7 (g) Does not have a relative employed by the school district, in the case of a
- 8 person elected after July 13, 1990. This shall not apply to a board member
- 9 holding office on July 13, 1990, whose relative was not initially hired by the
- 10 district during the tenure of the board member; and
- 11 **(h) For boards of education of large school districts, is not an employee of a**
- 12 **board of education in the Commonwealth whose position requires work on**
- 13 **more than one hundred (100) days per year.**
- 14 (3) (a) A member of a board of education shall be subject to removal from office
- 15 pursuant to KRS 415.050 and 415.060 if, after the election the member:
- 16 1. Becomes interested in any contract with or claims against the board, of
- 17 the kind mentioned in subsection (2)(e) of this section;
- 18 2. Moves his or her residence from the division for which he or she was
- 19 chosen;
- 20 3. Attempts to influence the employment of any school employee, except
- 21 the superintendent or school board attorney;
- 22 4. Is convicted of a felony;
- 23 5. Performs acts of malfeasance in performance of duties prescribed by
- 24 law;
- 25 6. Willfully misuses, converts, or misappropriates public property or funds;
- 26 or
- 27 7. Does anything that would render the member ineligible for reelection.

1 (b) In accordance with KRS 7.410, the Office of Education Accountability shall
2 have the duty and responsibility to investigate current local board of education
3 members for allegations of conduct prohibited by paragraph (a) of this
4 subsection. After review and investigation, the Office of Education
5 Accountability shall refer appropriate matters to the Attorney General.

6 (4) A member of a board of education shall be eligible for reelection unless he or she
7 becomes disqualified.

8 (5) The annual in-service training requirements for all members of boards of education
9 in office as of December 31, 2014, shall be as follows:

10 (a) Twelve (12) hours for members with zero to three (3) years of experience;

11 (b) Eight (8) hours for members with four (4) to seven (7) years of experience;
12 and

13 (c) Four (4) hours for members with eight (8) or more years of experience.

14 The Kentucky Board of Education shall identify the criteria for fulfilling this
15 requirement.

16 (6) (a) For all members of boards of education who begin their initial service on or
17 after January 1, 2015, the in-service training requirements shall be:

18 1. Twelve (12) hours for members with zero to eight (8) years of
19 experience each year, which shall include a minimum of:

20 a. One (1) hour of ethics training each year; and

21 b. One (1) hour of open meetings and open records training within
22 the first twelve (12) months of initial service and at least once
23 every four (4) years thereafter; and

24 2. Eight (8) hours for members with more than eight (8) years of
25 experience each year, which shall include a minimum of:

26 a. One (1) hour of ethics training each year; and

27 b. One (1) hour of open meetings and open records training at least

1 once every four (4) years.

2 (b) Training topics for members under this subsection with less than two (2) years
3 of consecutive service shall include three (3) hours of finance and one (1)
4 hour of superintendent evaluation within the first two (2) years of service. The
5 Kentucky Board of Education shall identify criteria for fulfilling this
6 requirement.

7 ➔Section 8. KRS 160.210 is amended to read as follows:

8 (1) In independent school districts, the members of the school board shall be elected
9 from the district at large. In county school districts, members shall be elected from
10 divisions.

11 (2) The board of education of each county school district shall ~~not later than July 1,~~
12 ~~1940,~~ divide its district into five (5) divisions containing integral voting precincts
13 and as equal in population insofar as is practicable. In ~~first~~ dividing the county
14 district into divisions the board shall, if more than one (1) of its members reside in
15 one (1) division, determine by lot which member from that division shall represent
16 that division, and which members shall represent the divisions in which no member
17 resides. The members so determined to represent divisions in which no member
18 resides shall be considered the members from those divisions until their terms
19 expire, and thereafter the members from those divisions shall be nominated and
20 elected as provided in KRS 160.200 and 160.220 to 160.250.

21 (3) Any changes made in division boundary lines shall be to make divisions as equal in
22 population and containing integral voting precincts insofar as is practical. No
23 change may be made in division boundary lines less than five (5) years after the last
24 change in any division lines, except in case of merger of districts, a change in
25 territory due to annexation, or to allow compliance with KRS 117.055(2).

26 (4) (a) Notwithstanding the provisions of subsection (3) of this section, if one
27 hundred (100) residents of a county school district division petition the

1 Kentucky Board of Education stating that the school district divisions are not
2 divided as nearly equal in population as can reasonably be expected, the chief
3 state school officer shall cause an investigation to determine the validity of the
4 petition, the investigation to be completed within thirty (30) days after receipt
5 of the petition.

6 (b) If the investigation reveals the school district to be unequally divided
7 according to population, the Kentucky Board of Education, upon the
8 recommendation of the chief state school officer, shall order the local board of
9 education to make changes in school district divisions as are necessary to
10 equalize population within the five (5) school divisions.

11 (c) If any board fails to comply with the order of the Kentucky Board of
12 Education within thirty (30) days or prior to August 1 in any year in which
13 any members of the board are to be elected, members shall be elected from
14 the district at large until the order of the Kentucky Board of Education has
15 been complied with.

16 (d) No change shall be made in the boundary of any division under the provisions
17 of this subsection after August 1 in the year in which a member of the school
18 board is to be elected from any division.

19 (5) Notwithstanding the provisions of subsection (2) of this section:~~[-]~~

20 **(a)** In **large school districts**~~[counties containing a city of the first class wherein a~~
21 ~~merger pursuant to KRS 160.041 shall have been accomplished]~~, there shall
22 be **five (5)**~~[Seven (7)]~~ divisions as equal in population as is practicable, with
23 members elected from divisions. To be eligible to be elected from a division,
24 a candidate **shall**~~[must]~~ reside in that division. The **county school district**
25 ~~divisions[- based upon 1970 United States Census Bureau Reports on total~~
26 ~~population by census tracts]~~ for Jefferson County, Kentucky, shall be as
27 **provided in Section 9 of this Act**~~[follows: Division One shall include census~~

1 ~~tracts 1-28; Division Two shall include census tracts 29-35, 47-53, 57-74, 80-~~
2 ~~84, 93, 129, 130; Division Three shall include census tracts 75-79, 85-88, 98-~~
3 ~~106, 107.01, 108; Division Four shall include census tracts 121.01, 123-128;~~
4 ~~Division Five shall include census tracts 36-46, 56, 90, 120, 121.02, 122;~~
5 ~~Division Six shall include census tracts 54, 55, 91, 92, 94, 95, 110.02, 113,~~
6 ~~114, 117.01, 117.02, 118, 119; Division Seven shall include census tracts 89,~~
7 ~~96, 97, 107.02, 109, 110.01, 111, 112, 115, 116, 117.03, 131, 132.]; and~~

8 **(b)** The terms of the members~~[to be elected]~~, KRS 160.044 notwithstanding,
9 shall be four (4) years~~[and the election for the initial four (4) year terms shall~~
10 ~~be as follows: The election of the members from Divisions Two, Four and~~
11 ~~Seven shall be held at the next regular November election following the~~
12 ~~effective date of the merger pursuant to KRS 160.041, and the election of the~~
13 ~~members from Divisions One, Three, Five and Six shall be held at the regular~~
14 ~~November election two (2) years thereafter].~~

15 (6) ~~[In counties containing cities of the first class,]~~Responsibility for the establishment
16 ~~and~~~~[or]~~ the changing of school board division boundaries **of large school districts**
17 shall be with the **county**~~[local]~~ board of education, subject to the review and
18 approval of the county board of elections. Where division and census tract
19 boundaries do not coincide with existing election precinct boundaries, school board
20 divisions shall be redrawn to comply with precinct boundaries. In no instance shall
21 precinct boundaries be redrawn nor shall a precinct be divided to accommodate the
22 drawing of school board division lines. ~~[Precinct boundaries nearest existing school~~
23 ~~board division boundaries shall become the new division boundary.]~~All changes
24 under this **section**~~[statute]~~ shall be completed on or before~~[January 1, 1979, and on~~
25 ~~or before]~~ January 1 in any~~[succeeding]~~ year in which a member of the~~[school]~~
26 board is to be elected from any division. A record of all changes in division lines
27 shall be kept in the offices of the county board of education and the county board of

elections. The board of education shall publish all changes pursuant to KRS Chapter 424. A copy of the newspaper in which the notice is published shall be filed with the chief state school officer within ten (10) days following its publication.

➔SECTION 9. A NEW SECTION OF KRS CHAPTER 160 IS CREATED TO READ AS FOLLOWS:

(1) The divisions for the Jefferson County Board of Education shall be based upon the precinct identification codes and precinct boundaries maintained by the Jefferson County Clerk's Office as of March 19, 2026. The divisions shall be composed of the following territory in Jefferson County that is part of the Jefferson County School District:

(a) Division One shall consist of the following territory:

<u>G140</u>	<u>G141</u>	<u>G143</u>	<u>G144</u>	<u>G145</u>	<u>G146</u>	<u>G150</u>
<u>G156</u>	<u>G161</u>	<u>G169</u>	<u>G174</u>	<u>G177</u>	<u>G186</u>	<u>G189</u>
<u>G190</u>	<u>G191</u>	<u>G192</u>	<u>G193</u>	<u>J173</u>	<u>J174</u>	<u>K110</u>
<u>K111</u>	<u>K112</u>	<u>K113</u>	<u>K114</u>	<u>K116</u>	<u>K117</u>	<u>K122</u>
<u>K123</u>	<u>K125</u>	<u>K140</u>	<u>K142</u>	<u>K150</u>	<u>K155</u>	<u>K159</u>
<u>K160</u>	<u>K161</u>	<u>K162</u>	<u>K163</u>	<u>K164</u>	<u>K165</u>	<u>K167</u>
<u>K169</u>	<u>K170</u>	<u>K171</u>	<u>K172</u>	<u>K173</u>	<u>K176</u>	<u>K177</u>
<u>K178</u>	<u>K179</u>	<u>L169</u>	<u>L170</u>	<u>L171</u>	<u>L172</u>	<u>L173</u>
<u>L174</u>	<u>L175</u>	<u>L176</u>	<u>L195</u>	<u>L203</u>	<u>L204</u>	<u>L205</u>
<u>L206</u>	<u>L207</u>	<u>L208</u>	<u>L216</u>	<u>L217</u>	<u>L218</u>	<u>L219</u>
<u>L220</u>	<u>M107</u>	<u>M110</u>	<u>M121</u>	<u>M129</u>	<u>M181</u>	<u>M185</u>
<u>M186</u>	<u>M188</u>	<u>M189</u>	<u>M191</u>	<u>M192</u>	<u>M193</u>	<u>M194</u>
<u>M195</u>	<u>M196</u>	<u>M197</u>	<u>M198</u>	<u>M199</u>	<u>M201</u>	<u>M202</u>
<u>M203</u>	<u>N101</u>	<u>N102</u>	<u>N103</u>	<u>N104</u>	<u>N105</u>	<u>N106</u>
<u>N107</u>	<u>N115</u>	<u>N117</u>	<u>N128</u>	<u>N134</u>	<u>N135</u>	<u>N136</u>

1	<u>N145</u>	<u>N147</u>	<u>N148</u>	<u>N152</u>	<u>N157</u>	<u>N162</u>	<u>N163</u>
2	<u>N164</u>	<u>N165</u>	<u>N167</u>	<u>N171</u>	<u>N173</u>	<u>N179</u>	<u>O105</u>
3	<u>O107</u>	<u>O112</u>	<u>O117</u>	<u>O119</u>	<u>O121</u>	<u>O127</u>	<u>O135</u>
4	<u>O136</u>	<u>O145</u>	<u>O146</u>	<u>O147</u>	<u>O150</u>	<u>O151</u>	<u>O152</u>
5	<u>O153</u>	<u>O154</u>					
6	<i><u>(b) Division Two shall consist of the following territory:</u></i>						
7	<u>C123</u>	<u>C124</u>	<u>C128</u>	<u>C130</u>	<u>C131</u>	<u>C137</u>	<u>C138</u>
8	<u>D114</u>	<u>D116</u>	<u>D117</u>	<u>D120</u>	<u>D122</u>	<u>D132</u>	<u>D137</u>
9	<u>D139</u>	<u>D141</u>	<u>D142</u>	<u>D146</u>	<u>D147</u>	<u>D148</u>	<u>D149</u>
10	<u>D150</u>	<u>D151</u>	<u>D155</u>	<u>D156</u>	<u>D157</u>	<u>D158</u>	<u>D159</u>
11	<u>D160</u>	<u>D161</u>	<u>D163</u>	<u>D164</u>	<u>D165</u>	<u>D166</u>	<u>D167</u>
12	<u>E139</u>	<u>E141</u>	<u>E142</u>	<u>E143</u>	<u>E144</u>	<u>E154</u>	<u>E155</u>
13	<u>E157</u>	<u>E162</u>	<u>E171</u>	<u>E173</u>	<u>E175</u>	<u>E176</u>	<u>E183</u>
14	<u>E185</u>	<u>E188</u>	<u>E189</u>	<u>G157</u>	<u>G158</u>	<u>G159</u>	<u>G160</u>
15	<u>G163</u>	<u>G164</u>	<u>G165</u>	<u>G170</u>	<u>G171</u>	<u>G172</u>	<u>G173</u>
16	<u>G178</u>	<u>G179</u>	<u>G180</u>	<u>G181</u>	<u>G182</u>	<u>G183</u>	<u>G184</u>
17	<u>G185</u>	<u>G187</u>	<u>G188</u>	<u>G194</u>	<u>G195</u>	<u>G196</u>	<u>H117</u>
18	<u>H120</u>	<u>H121</u>	<u>H164</u>	<u>K153</u>	<u>L165</u>	<u>L167</u>	<u>L168</u>
19	<u>L177</u>	<u>L178</u>	<u>L179</u>	<u>L180</u>	<u>L181</u>	<u>L182</u>	<u>L183</u>
20	<u>L184</u>	<u>L186</u>	<u>L187</u>	<u>L188</u>	<u>L189</u>	<u>L192</u>	<u>L193</u>
21	<u>L194</u>	<u>L196</u>	<u>L197</u>	<u>L198</u>	<u>L199</u>	<u>L201</u>	<u>L209</u>
22	<u>L210</u>	<u>L211</u>	<u>L212</u>	<u>L213</u>	<u>L215</u>	<u>M159</u>	<u>M176</u>
23	<u>M177</u>	<u>M178</u>	<u>M179</u>	<u>M210</u>	<u>M213</u>	<u>N151</u>	<u>N153</u>
24	<u>N170</u>	<u>N174</u>	<u>N177</u>	<u>N181</u>	<u>Q107</u>	<u>Q137</u>	<u>Q138</u>
25	<u>Q140</u>	<u>Q142</u>	<u>Q146</u>	<u>Q150</u>	<u>Q151</u>	<u>Q156</u>	<u>Q162</u>
26	<u>Q163</u>	<u>Q164</u>	<u>Q165</u>	<u>Q166</u>	<u>Q167</u>	<u>Q168</u>	<u>Q169</u>
27	<u>V101</u>	<u>V106</u>	<u>V133</u>	<u>V134</u>			

1 **(c) Division Three shall consist of the following territory:**

2	<u>B153</u>	<u>B158</u>	<u>B159</u>	<u>B161</u>	<u>B172</u>	<u>B183</u>	<u>B191</u>
3	<u>B192</u>	<u>B193</u>	<u>B198</u>	<u>B199</u>	<u>B201</u>	<u>B202</u>	<u>D152</u>
4	<u>D153</u>	<u>D154</u>	<u>D168</u>	<u>D169</u>	<u>D171</u>	<u>D172</u>	<u>D173</u>
5	<u>E145</u>	<u>E181</u>	<u>E190</u>	<u>E191</u>	<u>E192</u>	<u>E193</u>	<u>E194</u>
6	<u>E195</u>	<u>E196</u>	<u>E197</u>	<u>E198</u>	<u>E199</u>	<u>E201</u>	<u>E202</u>
7	<u>E203</u>	<u>E204</u>	<u>E205</u>	<u>E206</u>	<u>E207</u>	<u>F106</u>	<u>F145</u>
8	<u>F151</u>	<u>F152</u>	<u>F153</u>	<u>F158</u>	<u>F163</u>	<u>F164</u>	<u>F167</u>
9	<u>F169</u>	<u>F170</u>	<u>F171</u>	<u>F172</u>	<u>F176</u>	<u>F179</u>	<u>F180</u>
10	<u>F184</u>	<u>F188</u>	<u>F189</u>	<u>F190</u>	<u>F191</u>	<u>F192</u>	<u>G175</u>
11	<u>G176</u>	<u>N130</u>	<u>N178</u>	<u>S116</u>	<u>S118</u>	<u>S125</u>	<u>S126</u>
12	<u>S128</u>	<u>S129</u>	<u>S130</u>	<u>S139</u>	<u>S140</u>	<u>S143</u>	<u>S144</u>
13	<u>S153</u>	<u>S160</u>	<u>S161</u>	<u>S165</u>	<u>S166</u>	<u>S167</u>	<u>S168</u>
14	<u>S169</u>	<u>S170</u>	<u>S171</u>	<u>S172</u>	<u>S173</u>	<u>S174</u>	<u>S175</u>
15	<u>S176</u>	<u>S177</u>	<u>S178</u>	<u>S179</u>	<u>V104</u>	<u>V105</u>	<u>V107</u>
16	<u>V108</u>	<u>V109</u>	<u>V110</u>	<u>V111</u>	<u>V112</u>	<u>V113</u>	<u>V114</u>
17	<u>V116</u>	<u>V118</u>	<u>V120</u>	<u>V121</u>	<u>V123</u>	<u>V125</u>	<u>V126</u>
18	<u>V127</u>	<u>V129</u>	<u>V130</u>	<u>V131</u>	<u>V136</u>	<u>V137</u>	<u>V138</u>
19	<u>V139</u>	<u>V140</u>	<u>V141</u>	<u>V142</u>	<u>V143</u>	<u>V144</u>	<u>V145</u>
20	<u>V146</u>						

21 **(d) Division Four shall consist of the following territory:**

22	<u>A146</u>	<u>A147</u>	<u>A148</u>	<u>A149</u>	<u>A150</u>	<u>A151</u>	<u>A154</u>
23	<u>C101</u>	<u>C102</u>	<u>C103</u>	<u>C104</u>	<u>C105</u>	<u>C106</u>	<u>C108</u>
24	<u>C109</u>	<u>C110</u>	<u>C111</u>	<u>C113</u>	<u>C115</u>	<u>C126</u>	<u>C129</u>
25	<u>C134</u>	<u>C152</u>	<u>C153</u>	<u>C154</u>	<u>C155</u>	<u>C156</u>	<u>C157</u>
26	<u>H123</u>	<u>H124</u>	<u>H125</u>	<u>H126</u>	<u>H130</u>	<u>H154</u>	<u>H155</u>
27	<u>H163</u>	<u>H165</u>	<u>H166</u>	<u>H167</u>	<u>H168</u>	<u>H171</u>	<u>H176</u>

1	<u>H177</u>	<u>H178</u>	<u>H180</u>	<u>H181</u>	<u>H182</u>	<u>H185</u>	<u>I169</u>
2	<u>J105</u>	<u>J108</u>	<u>J111</u>	<u>J113</u>	<u>J117</u>	<u>J119</u>	<u>J120</u>
3	<u>J140</u>	<u>J163</u>	<u>J165</u>	<u>J166</u>	<u>J168</u>	<u>J169</u>	<u>J170</u>
4	<u>J171</u>	<u>J172</u>	<u>K118</u>	<u>K119</u>	<u>K131</u>	<u>K134</u>	<u>K135</u>
5	<u>K137</u>	<u>K141</u>	<u>K143</u>	<u>K151</u>	<u>K152</u>	<u>K154</u>	<u>K156</u>
6	<u>K157</u>	<u>K158</u>	<u>K166</u>	<u>K168</u>	<u>K174</u>	<u>K175</u>	<u>K180</u>
7	<u>L166</u>	<u>L185</u>	<u>M123</u>	<u>M124</u>	<u>M131</u>	<u>M168</u>	<u>M180</u>
8	<u>M182</u>	<u>M183</u>	<u>M184</u>	<u>M211</u>	<u>M212</u>	<u>N154</u>	<u>N155</u>
9	<u>N156</u>	<u>N158</u>	<u>N160</u>	<u>N161</u>	<u>N166</u>	<u>N168</u>	<u>N169</u>
10	<u>N172</u>	<u>N175</u>	<u>N176</u>	<u>N180</u>	<u>O109</u>	<u>O111</u>	<u>O113</u>
11	<u>O124</u>	<u>O126</u>	<u>O130</u>	<u>O131</u>	<u>O138</u>	<u>O148</u>	<u>O149</u>
12	<u>Q103</u>	<u>Q127</u>	<u>Q148</u>	<u>Q153</u>	<u>Q154</u>	<u>Q155</u>	<u>Q161</u>
13	<u>Q170</u>						
14	<i><u>(e) Division Five shall consist of the following territory:</u></i>						
15	<u>A107</u>	<u>A108</u>	<u>A111</u>	<u>A113</u>	<u>A114</u>	<u>A115</u>	<u>A118</u>
16	<u>A119</u>	<u>A121</u>	<u>A124</u>	<u>A125</u>	<u>A126</u>	<u>A127</u>	<u>A128</u>
17	<u>A129</u>	<u>A134</u>	<u>A136</u>	<u>A139</u>	<u>A142</u>	<u>A145</u>	<u>A152</u>
18	<u>A153</u>	<u>B124</u>	<u>B134</u>	<u>B149</u>	<u>B154</u>	<u>B160</u>	<u>B162</u>
19	<u>B163</u>	<u>B166</u>	<u>B168</u>	<u>B169</u>	<u>B173</u>	<u>B175</u>	<u>B177</u>
20	<u>B184</u>	<u>B187</u>	<u>B188</u>	<u>B189</u>	<u>B190</u>	<u>B194</u>	<u>B195</u>
21	<u>B196</u>	<u>B197</u>	<u>H138</u>	<u>H144</u>	<u>H147</u>	<u>H169</u>	<u>H173</u>
22	<u>H175</u>	<u>H183</u>	<u>H184</u>	<u>I126</u>	<u>I130</u>	<u>I133</u>	<u>I135</u>
23	<u>I141</u>	<u>I144</u>	<u>I145</u>	<u>I146</u>	<u>I151</u>	<u>I152</u>	<u>I153</u>
24	<u>I154</u>	<u>I157</u>	<u>I158</u>	<u>I159</u>	<u>I160</u>	<u>I161</u>	<u>I162</u>
25	<u>I163</u>	<u>I164</u>	<u>I165</u>	<u>I166</u>	<u>I167</u>	<u>I168</u>	<u>I170</u>
26	<u>I171</u>	<u>I172</u>	<u>I173</u>	<u>I174</u>	<u>I175</u>	<u>J122</u>	<u>J123</u>
27	<u>J135</u>	<u>J137</u>	<u>J138</u>	<u>J145</u>	<u>J150</u>	<u>J152</u>	<u>J153</u>

1	<u>J156</u>	<u>J157</u>	<u>J158</u>	<u>J159</u>	<u>J160</u>	<u>J162</u>	<u>J164</u>
2	<u>O141</u>	<u>O144</u>	<u>Q109</u>	<u>Q115</u>	<u>Q125</u>	<u>Q132</u>	<u>Q141</u>
3	<u>Q143</u>	<u>Q144</u>	<u>Q145</u>	<u>Q171</u>	<u>Q172</u>		

(2) If any precinct or part of a precinct that is part of Jefferson County School District is not identified in subsection (1) of this section, the county board of elections shall add that territory to a contiguous division. All actions taken by the county board of elections under this subsection shall be to ensure that minimal changes are made that allow the divisions to fall within a five percent (5%) population deviation.

➔Section 10. KRS 160.042 is amended to read as follows:

(1) Upon a merger under the provisions of KRS 160.040 and 160.041 of an independent school district in a city of the first class with a county school district in counties containing a city of the first class, the members of the county board of education of the merged county school district, shall be elected pursuant to KRS 160.200 and 160.210.

(2) Each member of the respective boards of education at the time of the merger of the districts, may continue to hold office until the expiration of his or her term of office, ~~[except as provided in KRS 160.200(4);]~~but any vacancy occurring among such members for any reason shall not be filled.

➔Section 11. KRS 160.240 is amended to read as follows:

~~[(1)]~~The general election laws shall apply to all elections of school board members[.

~~(2) In school districts embracing designated cities, the expense of the election shall be paid by the city from its general funds. In all other districts the expense shall be paid by the fiscal court out of its general funds.~~

~~(3) As used in this section, "designated city" has the same meaning as in KRS 160.020].~~

➔Section 12. KRS 304.48-250 is amended to read as follows:

- 1 (1) If the assets of a liability self-insurance group are at any time insufficient to enable
2 the group to discharge its legal liabilities, other obligations, and to maintain the
3 required reserves under this subtitle, the group shall immediately levy an
4 assessment upon its members for the amount necessary to make up the deficiency.
- 5 (2) If there is a deficiency in any fund year, the deficiency shall be made up
6 immediately, from the following:
- 7 (a) Surplus from a fund year other than the current fund year after prior notice of
8 the transfer has been given to the commissioner;
- 9 (b) Administrative funds;
- 10 (c) Assessment of membership; or
- 11 (d) Alternate methods as the commissioner may direct or approve.
- 12 (3) If a liability self-insurance group fails to assess its members within thirty (30) days
13 to make up a deficit, the commissioner shall order it to do so. This subsection shall
14 not apply to liability self-insurance groups formed by governmental entities which
15 do not have joint and several liability.
- 16 (4) If a liability self-insurance group fails to make the required assessment of its
17 members within thirty (30) days after the commissioner orders it to do so, or if the
18 deficiency is not fully made up within sixty (60) days after the date on which the
19 assessment is made, or within a longer period of time as may be permitted by the
20 commissioner, the group shall be determined to be insolvent and may be placed in
21 delinquency proceedings as an insurer pursuant to Subtitle 33 of this chapter.
- 22 (5) (a) Governmental entities that:
- 23 1. Participate or have participated in a liability self-insurance group
24 authorized by this subtitle; and
- 25 2. Are assessed by the liability self-insurance group to cover an accrued
26 deficit;
- 27 may finance the payment of the assessment over a period not to exceed twenty

1 (20) years.

2 (b) Financing obtained pursuant to paragraph (a) of this subsection may be
3 accomplished by:

4 1. The issuance of bonds, notes, or other obligations; or

5 2. A lease, installment payment agreement, or other similar agreement.

6 (c) If the governmental entity fails to make a scheduled payment on the financing
7 obtained pursuant to paragraph (a) of this subsection, any payments due to
8 that governmental entity shall be withheld or intercepted using the process
9 established in KRS 160.160~~(7)(6)~~.

10 (6) Except as provided in subsection (5) of this section, all other provisions of the
11 Kentucky Revised Statutes applying to any financing obtained by a governmental
12 entity shall apply.

13 ➔Section 13. KRS 304.50-055 is amended to read as follows:

14 (1) As used in this section, "nationally recognized statistical rating organization" or
15 "NRSRO" means a credit rating agency approved by the United States Securities
16 and Exchange Commission to provide assessments of the creditworthiness of
17 financial instruments.

18 (2) A workers' compensation self-insured group shall establish plans for premium
19 payment, determination and collection of assessments, and for declaration and
20 payment of dividends or other disbursements, which shall be filed for prior
21 approval with the commissioner. Any change in the plans for premium payment,
22 assessments, or dividends shall be filed for prior approval with the commissioner.
23 Approval of plans for assessments and dividends does not constitute approval of
24 any particular assessment or dividend by the commissioner.

25 (3) Prior to the inception of each group member's self-insurance year, the trustees shall
26 collect from that member at least twenty-five percent (25%) of the estimated
27 premium for the ensuing year, except that in the case of a self-insured group formed

1 by governmental entities twenty-five percent (25%) of the estimated premium for
2 the ensuing year shall be collected no later than thirty (30) days after the beginning
3 of the self-insured group's self-insurance year. The balance of the estimated
4 premium shall be collected in either quarterly or monthly installments as set forth in
5 the enabling documents described in KRS 304.50-030(2)(b) or 304.50-060(2)(b).
6 Each group member's payroll shall be audited annually and an adjustment to
7 premium shall be made accordingly.

8 (4) A disbursement from a workers' compensation self-insured group fund shall be for
9 a purpose related to the self-insured group. A dividend shall not be approved or
10 paid until at least thirty-six (36) months after the expiration of the self-insurance
11 year and shall be paid from surplus funds not required for payment of claims or
12 other liabilities. The dividends shall be paid or credited to members according to the
13 reasonable classifications the trustees may establish. A dividend shall not be paid
14 which unfairly discriminates between members of the same classifications. A
15 dividend plan shall specify whether past group members are eligible for the
16 dividend. Payment of a dividend under a dividend plan shall not be made unless the
17 self-insured group has notified the commissioner of its intent to make a dividend
18 payment at least thirty (30) days prior to the payment, and the commissioner has not
19 disapproved the payment within that time.

20 (5) The formula to be used for collection of assessments shall be determined by the
21 trustees and approved by the commissioner. Assessments shall be fair and equitable
22 and shall not unfairly discriminate between members of the same classification.

23 (6) A trustee, fiscal agent, or service organization shall not utilize an asset of the self-
24 insured group for a purpose unrelated to workers' compensation. The trustees shall
25 maintain cash or cash equivalent accounts as may be prudently necessary to pay
26 expenses without having to liquidate long-term investments.

27 (7) The trustees may invest funds in:

- 1 (a) United States Government bonds, United States Treasury notes, Treasury
2 bills, or other direct obligations guaranteed by the full faith and credit of the
3 United States Government or its agencies;
- 4 (b) Tax exempt and taxable obligations issued by any state or any of its agencies,
5 counties, cities, municipalities, districts, political subdivisions, or other legal
6 authorities within the United States of America with a minimum rating of
7 "BBB" by any NRSRO, except that no less than fifty percent (50%) of the
8 investments made under this paragraph shall be in obligations issued by the
9 Commonwealth, its agencies, or a county, city district, municipality, political
10 subdivision, or other legal authority within the Commonwealth;
- 11 (c) Investment share accounts in a savings and loan association in the
12 Commonwealth whose deposits are insured by a federal agency;
- 13 (d) Certificates of deposit if issued by a duly chartered commercial bank;
- 14 (e) 1. At the time of purchase, equity securities actively traded on the New
15 York or NASDAQ Stock Exchanges or other registered national
16 securities exchanges with no individual equity holding comprising
17 greater than ten percent (10%) of the equity portion of the portfolio
18 reflected on the most recent quarterly or annual statement of financial
19 condition on file with the commissioner.
- 20 2. An investment in an individual equity holding shall not represent at the
21 time of purchase more than five percent (5%) of the total market value
22 of the security.
- 23 3. At the time of purchase, investments in equity securities shall not exceed
24 twenty percent (20%) of the total market value of the investment
25 portfolio of the self-insured group reflected on the most recent quarterly
26 or annual statement of financial condition on file with the commissioner;
- 27 (f) Corporate bonds if:

- 1 1. The bond is issued, assumed, or guaranteed by a solvent institution
2 created or existing under the laws of the United States, or a state,
3 province, district, or territory;
- 4 2. At the time of purchase, the corporate bond investments do not exceed
5 twenty-five percent (25%) of the total market value of the investment
6 portfolio reflected on the most recent quarterly or annual statement of
7 financial condition on file with the commissioner; and
- 8 3. The bond has a minimum rating of "BBB" by any NRSRO;
- 9 (g) At the time of purchase, mutual funds and exchange traded funds if the
10 investments do not exceed twenty percent (20%) of the total market value of
11 the investment portfolio reflected on the most recent quarterly or annual
12 statement of financial condition on file with the commissioner; and
- 13 (h) Asset-backed securities if:
14 1. The bond is issued, assumed, or guaranteed by a solvent institution
15 created or existing under the laws of the United States, or a state,
16 province, district, or territory;
- 17 2. The asset-backed security investments do not exceed ten percent (10%)
18 of the total market value of the investment portfolio reflected on the
19 most recent quarterly or annual statement of financial condition on file
20 with the commissioner; and
- 21 3. The bond has a minimum rating of "BBB" by any NRSRO.
- 22 (8) Of the aggregate investments made by the trustees of the self-insured group under
23 this section:
24 (a) Not less than fifty percent (50%) of the total market value of the entire
25 investment portfolio shall be held in cash, cash equivalents, or securities as
26 described in subsection (7)(a) to (d) of this section; and
27 (b) A minimum of five percent (5%) of the total investment portfolio value shall

1 be maintained in cash or cash equivalent accounts or United States Treasury
2 and Federal Agency Securities with a remaining maturity of one (1) year or
3 less.

4 (9) In the event that any security investment authorized by subsection (7) of this section
5 is downgraded below "BBB," the workers' compensation self-insurance group shall
6 divest itself of that investment as prudently as possible without incurring
7 unnecessary losses.

8 (10) The commissioner may permit variation from the requirements of this section for
9 good cause.

10 (11) (a) Governmental entities that:

- 11 1. Participate or have participated in a workers' compensation self-insured
12 group authorized by this subtitle; and
13 2. Are assessed by the workers' compensation self-insured group to cover
14 an accrued deficit;
15 may finance the payment of the assessment over a period not to exceed twenty
16 (20) years.

17 (b) Financing obtained pursuant to paragraph (a) of this subsection may be
18 accomplished by:

- 19 1. The issuance of bonds, notes, or other obligations; or
20 2. A lease, installment payment agreement, or other similar agreement.

21 (c) If the governmental entity fails to make a scheduled payment on the financing
22 obtained pursuant to paragraph (a) of this subsection, any payments due to
23 that governmental entity shall be withheld or intercepted using the process
24 established in KRS 160.160~~(7)(6)~~.

25 (12) Except as provided in subsection (11) of this section, all other provisions of the
26 Kentucky Revised Statutes applying to any financing obtained by a governmental
27 entity shall apply.

1 ➔ SECTION 14. A NEW SECTION OF KRS CHAPTER 164 IS CREATED TO
2 READ AS FOLLOWS:

3 (1) There is established a Center of American Civics at the University of Kentucky.

4 The board of trustees for the University of Kentucky may rename the center
5 consistent with its philanthropic naming governance procedures.

6 (2) The center shall:

7 (a) Foster a deeper understanding of the structures and institutions of federal,
8 state, and local government;

9 (b) Further the understanding of the principles and philosophies that
10 contributed to the foundation and development of the United States and the
11 Commonwealth of Kentucky;

12 (c) Promote civil discourse and constructive debate;

13 (d) Enhance education in the fields of politics, economics, philosophy, law,
14 American history, American government, rule of law, and other related
15 fields as appropriate, with a focus on the rights and responsibilities of
16 American citizenship; fundamental democratic principles; and the ways in
17 which those principles are expressed in and through our federal, state, and
18 local institutions;

19 (e) Provide nonpartisan resources to students, faculty, state government
20 agencies, educators, and the general public regarding civic affairs;

21 (f) Foster civic engagement through full and fair discussions that promote civil
22 dialogue among those holding conflicting points of view; and

23 (g) Assist in ensuring that the University of Kentucky serves as a robust
24 marketplace of ideas for all students and faculty.

25 (3) In order to carry out the purposes set forth in subsection (2) of this section, the
26 provost of the University of Kentucky may:

27 (a) Name an executive director and otherwise establish governance structure

1 for the center;

2 (b) Develop academic guidelines, course offerings, potential internships and
3 other relevant experiences for students and the general public;

4 (c) Facilitate events, including sponsoring public lectures;

5 (d) Develop a partnership between the center and the Patterson School of
6 Diplomacy at the University of Kentucky; and

7 (e) Take other actions as appropriate.

8 (4) The center may be physically housed in the J. David Rosenberg College of Law
9 on the campus of the University of Kentucky.

10 (5) The center shall operate as an independent academic unit within the University
11 of Kentucky.

12 (6) Any funds appropriated to the center shall not supplant any existing state funding
13 or private or external donations to the University of Kentucky. Appropriated
14 funds and all private and external donations to the center may only be used for
15 operation of the center in conformance with this section.

16 ➔SECTION 15. A NEW SECTION OF KRS CHAPTER 164 IS CREATED TO
17 READ AS FOLLOWS:

18 (1) The McConnell Center shall be redesignated as an independent academic unit
19 within the University of Louisville. The University of Louisville shall provide
20 adequate administrative space for the center if space does not currently exist.

21 (2) The center shall pursue all of the following goals:

22 (a) Promote the McConnell Center's core principles of leadership, scholarship,
23 and service;

24 (b) Prepare top undergraduate students to become future leaders;

25 (c) Offer civic education programs for teachers, students, and the public; and

26 (d) Conduct strategic leadership development for the United States Army.

27 (3) In order to carry out the purposes set forth in subsection (b), the center is

- 1 authorized to:
- 2 (a) Hire faculty and staff;
- 3 (b) Enroll students;
- 4 (c) Develop and offer courses in new undergraduate major and minor
- 5 programs;
- 6 (d) Offer general education and honors courses;
- 7 (e) Provide and facilitate internships and other relevant experiences for
- 8 students and the general public;
- 9 (f) Hold events, including sponsoring public lectures; and
- 10 (g) Take other actions as appropriate, subject to the supervision of the president
- 11 of the University of Louisville.
- 12 (4) The president of the University of Louisville shall appoint a director of the
- 13 McConnell Center. The director shall:
- 14 (a) Report to the president of the University of Louisville;
- 15 (b) Make all faculty and staff hiring decisions; and
- 16 (c) Operate the center in accordance with the policies and procedures of the
- 17 University of Louisville.
- 18 (5) Faculty of the center may be awarded tenure subject to the tenure policies of the
- 19 University of Louisville as adopted by the board of trustees and shall not be
- 20 required to gain joint appointment in another division of the University of
- 21 Louisville.
- 22 (6) Beginning September 1, 2027, and by each September 1 thereafter, the director
- 23 shall develop and provide an annual strategic plan for the center to the president
- 24 of the University of Louisville and the advisory board.
- 25 (7) Funds appropriated to the center shall not supplant any existing state funding or
- 26 private or external donations to the University of Louisville. Appropriated funds
- 27 and all private and external donations to the center may only be used for the

1 direct operation of the center.

2 ➔SECTION 16. A NEW SECTION OF KRS CHAPTER 164 IS CREATED TO
3 READ AS FOLLOWS:

4 The McConnell Center at the University of Louisville and the Center of American
5 Civics at the University of Kentucky shall develop materials and curricula for a degree
6 program that meets the requirements of this section and distribute the materials and
7 curricula developed to each public institution of higher education in this state. The
8 curricula shall be for a course of instruction that is three (3) semester hours, or the
9 equivalent, in American government or American history that provides a
10 comprehensive overview of the major events and turning points of American history
11 and government and, at a minimum, includes:

12 (1) An understanding of the United States Constitution in its entirety;

13 (2) An understanding of the Declaration of Independence in its entirety;

14 (3) An understanding of a minimum of five (5) essays from the Federalist Papers in
15 their entirety as selected by the course instructor;

16 (4) An understanding of the Emancipation Proclamation in its entirety;

17 (5) An understanding of the Gettysburg Address in its entirety; and

18 (6) Other documents foundational to the American Civil Rights movement.

19 ➔Section 17. Notwithstanding any other statute to the contrary, for any large
20 school district that has seven board of education members on the effective date of this
21 section of this Act, the term of those members shall terminate on December 31, 2026. All
22 five elected members established under Section 8 of this Act shall be elected at the next
23 regular election following the effective date of this section of this Act. Within ten days of
24 January 1, 2027, the superintendent of the school district shall call a meeting of the newly
25 elected board of education for the purpose of organizing the board of education.
26 Notwithstanding the standard term of office for members of a board of education, the
27 members initially elected for Division Four and Division Five established in Section 9 of

1 this Act shall be for a two year term with subsequent terms being a standard four year
2 term. Members initially elected for Divisions One, Two, and Three established in Section
3 9 of this Act shall be for a standard four year term.

4 ➔Section 18. (1) Notwithstanding any statute to the contrary, for any large
5 school district that has seven board of education members on the effective date of this
6 section of this Act, the assignment of the seven members to the five divisions shall be as
7 provided under this section until the five members elected under Section 17 of this Act
8 take office.

9 (2) For any division in which:

10 (a) Only one current board of education member resides, that member shall
11 represent that division;

12 (b) Two or more current board of education members reside, the member
13 representing that division shall be selected by drawing lots among those resident
14 members; and

15 (c) No current board of education member resides, the member representing that
16 division shall be selected by drawing lots among those members not already representing
17 another division.

18 (3) Any remaining member shall represent the district at large for the remainder
19 of his or her term.

20 (4) Any further setting of divisions or setting of the member representing a
21 division shall be conducted in accordance with Section 8 of this Act and as otherwise
22 provided for in statute.

23 ➔Section 19. Notwithstanding the eligibility requirements established in
24 subsection (2)(h) of Section 7 of this Act, a person who was elected or appointed to a
25 board of education prior to the effective date of Section 7 of this Act shall remain eligible
26 for the office for the remainder of the term to which he or she was elected or appointed.
27 The person shall not be subsequently eligible to serve a new term on a board of

1 education, or eligible to be a candidate for election or appointment to a new term on a
2 board of education, unless that person meets all the requirements of Section 7 of this Act.

3 ➔Section 20. By November 1, 2026, the Kentucky Department of Education shall
4 submit to the Legislative Research Commission for referral to the appropriate interim
5 joint committees a plan for the implementation of each year of the practicum described in
6 Section 1 of this Act that includes any minimum requirements for successful completion
7 that the department will require and any statutory amendments the department needs for
8 implementation of the practicum.

9 ➔Section 21. Whereas timely elections and appointments are critically important
10 to the operation of large school districts, an emergency is declared to exist, and Sections
11 5 to 13 and Sections 17 to 19 of this Act take effect upon its passage and approval by the
12 Governor or upon its otherwise becoming a law.